Roadmap® ERP

*Integrate Innovate Succeed*

# Roadmap ERP

aids in as a digital stimulus for Engineering, Procurement & Construction companies (EPC)

**– a case study**

## Brief Company Profile

Setting global standards spanning over decades, this leading EPC firm has captivated the energy sector with impeccable execution of electrical turnkey projects. Geared up to take bigger challenges with its headquarters in Aurangabad, Maharashtra it is known to host 700+ skilled to semi-skilled – engineers & supervisors. The groundbreaking quality & safety policy has led to making this firm receive ISO 9001: 2008, ISO 2009:2015 accreditations followed by CPRI approvals for temperature rise limits, degree of protection & short circuit tests. Their state of art manufacturing plants has led on to garner clientele spanning over MNC's, private corporations and parastatal bodies globally in cement & power plants, sugar plants & distillery, textile & spinning, OEM & co-generation, electrical boilers & CI. Their global distinct work portfolio has led on to the establishment of a new regional office in Nepal along with 8 other domestic regional offices within India.

# Infrastructure & Best Practices – An Outline

This Engineering, Procurement & Construction Company is operational over a panel manufacturing division vested with state of the art manufacturing & testing facility. The motor control & automatic power control centers are rigged with panels – DC Drive, Control & Relay, bus duct & drive. They have created a brand name for themselves with their renowned NC press brake & shearing, carbon dioxide welding accompanied by automatic bus bar bending, punching – all coupled with great infrastructure & workforce for design, fabrication, assembly & testing. The delivered projects span across India with regional corporate offices in Madhya Pradesh, Chhattisgarh, Uttar Pradesh, Rajasthan, Andhra Pradesh, Karnataka, Gujarat, Haryana & Nepal.

# Motivations to go for Roadmap ERP

The firm currently makes use of Tally ERP 9 for the ongoing financial pursuits in all corporate regional offices. However, all the corporate regional offices manually synchronize the financial tax returns at the headquarters for compilation making the process relentlessly cumbersome. The lack of following the concept of unity has led to the following concerns:

- Treating all the corporate regional offices as a separate entity has led to unnecessary hassles during GST consolidation. (GLM)
- The absence of "currency conversion feature – from Nepalese rupees to INR" complicates the VAT & IT consolidation processes. (GLM)
- Lengthy & tedious maintenance of GST Ledger based on Project-wise – supplier & customer ledgers, state-wise income & expense ledgers leads to inaccuracy. (GLM)
- The project based-cost is not done on the basis of the nature of business. (GLM)
- No Charts of Accounts are maintained for Supplier Groups. (APM)
- All-in-one ledger maintained for Accounts Receivable, advances & retentions reduce clarity & understanding. (ARM)
- The Customer Masters currently isn't formulated in Tally. Moreover, there is no grouping /sub grouping codification for customers making it difficult to keep track of customer transactions. (ARM)
- The product aging calculation based on invoice dates isn't a regular practice. (ARM)
- Earnest Money Deposit & Bank Guarantee procedures are still carried out manually making it difficult for follow up. (ARM)
- Calculating depreciation frequency monthly limits the possibility of easing asset management challenges as & when they happen. (FAM)
- The firm isn't having the system in place to capture furnished data to determine the history of asset usage (project-wise & location-wise) for any given month or year. (FAM)
- Manual bookkeeping of recruited employees is practiced which turns out to be a challenge during bulk recruitment. (HRM)
- The documents for visitor's management, courier movements are recorded manually often leading to added difficulty in maintenance. (HRM)
- No record-keeping of the identified leads in a data bank/ registry following a unique format & lead ID results in a lack of awareness about active leads. (Marketing)

- The use of a universal format for the Joint Measurement Certificate (JMC) couldn't capture project-specific progress leading to poor interpretation. (Marketing)
- Lack of essential system-generated reports.

To rule out the above concerns encountered, the EPC Company realized it was time for a productive ERP solution and called for suitors. Amongst all the ERP proposals that responded to the firm's call, it found Roadmap ERP to be an economically & technologically viable system deemed fit to encounter each of its concerns.

## The deficiencies addressed by Roadmap ERP

### General Ledger Management

#### Challenges

- The balance sheet consolidation & generation only took place at the headquarters in Aurangabad making the whole financial process complex.
- Lack of currency conversion feature decelerated GST consolidation.
- Adoption of varying format for Charts of Accounts reduced financial clarity.

#### Technological remedy

- Roadmap ERP devised Unit wise cost centers with profit & loss accounts that would generate balance sheets for individual regional corporate offices.
- Trial Balance was restructured to incorporate Indian & Nepalese rupees equipped with a currency conversion feature.
- A unique format was designed for Charts & Accounts removing state-wise & project ledger for a cost-center wise budget. A mechanism of prior approval was designed to keep a check on the utilized budget & actual budget.

### Accounts Payable Management

#### Challenges

- Lack of categorization of suppliers prompted to no existence of the Chart of Accounts for Suppliers.

#### Technological remedy

- Consolidated ledger creation for Accounts Receivable, advances & retentions reduced business transparency.
- Lack of customer categorization i.e. failure of assigning customer ID's resulted in poor upkeep & maintenance of customer transactions.
- Despite the successful maintenance of invoices aging calculation still wasn't a healthy practice.
- Manual creation & confirmation was followed on for Bank Guarantees & Earnest Money Deposits.
- All the existing business operations were solely relied on for manual approvals.

## Accounts Receivable Management

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### Technological remedy

- During ERP implementation, Roadmap ensured ledger segregation for Accounts Receivables, advances & retentions.
- Easy to remember Customer categorization entailing Customer UID's was allocated to fastrack the status of pending customer transactions.
- A digital mechanism for aging analysis was devised using invoice dates with additional report generation of Customer-wise outstanding (daily, once in 5 & 10 days), Cost Center & Cost Category-wise Sales Report (daily, weekly, monthly).
- A digitally conceived approval process was devised incorporating the hierarchical approving individuals to counteract the ongoing manual approval processes especially the manual creation of Bank Guarantees & Earnest Money Deposits.

## Financial Asset Management

### Challenges

- Depreciation value was calculated monthly contributing to unawareness in the depreciation frequency of an asset as & when its lifespan ran out leading to poor asset management.
- The history of asset usage went unrecorded by all means leading to confusion regarding the whereabouts of engineering equipments & many more.

## Technological remedy

- Roadmap ERP was exclusively customized to undertake asset depreciation calculations on a daily basis to be notified when an asset turns out to be unfit for onsite use.
- In order to record the history of asset usage, Roadmap recommended the formulation of a "Fixed Asset Register – Monthly & unit basis" to appraise the firm regarding the asset whereabouts.

# Human Resource & Payroll Management

## Challenges

- Employee records are still maintained manually leading to cumbersome upkeep & updation of the ongoing workforce.
- Visitor's management & courier inward & outward movements are tracked manually via handwritten pro formas & coordination through telephone.

## Technological remedy

- A transparent Employee portal was devised by Roadmap to enhance transparency for all employee-related activities.
- The Roadmap ERP was exclusively customized with features for tracking inward & outward courier movements & effective visitor management.

# Marketing

## Challenges

- Potential leads were identified but no attempt was made to track & register the progress of leads – customer inclination resulting in approaching the same leads repeatedly.
- Project-specific progress couldn't be captured by the universal format of the Joint Measurement Certificate (JMC) resulting in poor project development & analysis.

## Technological remedy

- A unique data bank was created for a strong follow up on lead identification assigning each new & existing leads with a UID number & reviewed progress update.
- Different Joint Measurement Certificate (JMC) formats were designed after purviewing the demonstrated history & type of construction activities typically undertaken by this EPC firm.

# Pursuits of Implementation: The way forward

The integration of Roadmap full-suite ERP with the Engineering, Procurement & Construction ecosystem of this firm resulted in making the organization fully equipped with enhanced corporate regional coordination – all over India. The best-in-class ERP solution provided real-time data awareness streamlining tracking, procurement & deployment of workforce & machinery for wise decision making. After all, Roadmap ERP proved to be just the right technological fit for all its industrial drawbacks.

# Roadmap IT Solutions (P) Ltd.


No. 5, Republic Street | Reddiyarpalayam | Puducherry - 605 010 | India

Phone: +91 413 420 7333, 98430 93700 Email: mktg@roadmapit.com

Corporate Operational Office : Pramuk Aqua Heights, Flat# C-602, 6th Floor, C Block,Electronic City Phase I, Hosur Main Road, Veerasandra Village, Bengaluru 560 100. Ph: +91 9972319933, 9442586928

Regional Office-Chennai : Old #7, New # 13, 2nd Floor, First Cross Street, Trustpuram, Kodambakkam, Chennai-600024. Ph : +91 94425 90624, 75502 47788 | mktg@roadmapit.com

Regional Office-Coimbatore : Old.No.20, New No.39,Vinayagar Koil Street, 1st Floor, Krishnasamy Nagar, Ramanathapuram, Coimbatore - 641 045. Ph:+91 94425 80742

Regional Office-Pune : Plot no.59 Amruteshwar Society. (landmark) behind HONDA showroom, Padmavati Pune 411009. Ph :020-26898155, +91 70285 26111, 70285 30666, 91722 62949 | mktg@roadmapit.com

Regional Office-Vadodara : 23, Upper Ground Floor, Silver Rock Complex, Bhavan's School Circle, Vadodara - 390004, Gujarat. Ph : 91722 62949

Overseas Office : **Middle East:** Zaitunah Commercial Center, Office Suit # 205; Bld No.7097, Jeddah-23343-3523, KSA. Tele/Fax: +966 12 6133817

**Africa :** 7 Troon Cresent, Silver Lake Golf Estate, Pretoria, South Africa.


**www.roadmapit.com**